

Section of the syllabus to which this article relates	Microeconomics
Commentary number	1
Title of article	Washington's Minimum Wage Increases January 1, 2024 – Here's Everything Employers Should Know
Source of the article – Website name	Davis Wright Tremaine LLP
Source of the article – Full URL	https://www.dwt.com/blogs/employment-labor-and-benefits/2023/11/washington-minimum-wage-increase-2024
The date the article was published	11 March 2023
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The date the commentary was written	26 January 2024
Word count	794
Key concept	Government Intervention

Article:

Washington's Minimum Wage Increases January 1, 2024 – Here's Everything Employers Should Know

Several cities – including Seattle, SeaTac, and Tukwila – will require rates much higher than the state's \$16.28 per hour

Washington's minimum wage will increase to \$16.28 per hour beginning January 1, 2024, according to the Washington State Department of Labor and Industries (L&I). Several cities in Washington will require even higher increases. Employers should familiarize themselves with these upcoming changes effective January 1:

Salary Threshold for Exempt Employees:

Beginning January 1, for all employers in Washington, to meet the salary basis threshold for exemption from overtime, employees must be paid a salary of at least \$1,302.40 per week or \$67,724.80 per year.

Exempt Computer Professionals:

For those exempt computer professionals paid on an hourly rate, the applicable minimum hourly rate—regardless of employer size—will be 3.5 times the minimum wage, or \$56.98 per hour.

Local Cities Require Even Higher Minimum Wage Rates:

SeaTac, Seattle, and Tukwila will require employers to pay even higher minimum wage rates effective January 1, 2024.

- **SeaTac's** minimum wage will increase to \$19.71 per hour for Hospitality and Transportation workers.

- **Seattle:**

- For small employers with 500 or fewer employees, the minimum wage rate will increase to \$17.25 per hour **if** the employer pays \$2.72 per hour toward medical benefits and/or if the employee earns \$2.72 per hour in tips. If not, the employer must pay \$19.97 per hour.
- For large employers with 501 or more employees, the minimum wage rate will increase to \$19.97 per hour.
- **Rideshare Drivers:**
 - For trips within Seattle in 2024, drivers will earn 66 cents per passenger platform minute and \$1.55 per passenger platform mile, or \$5.81 per trip, whichever is greater.
 - For trips outside of Seattle in 2024, drivers will earn 38 cents per passenger platform minute and \$1.31 per passenger platform mile, or \$3.37 per trip, whichever is greater.

- **Tukwila:**

- For large employers (more than 500 employees worldwide), the minimum wage rate will increase to \$20.29 per hour on January 1, 2024.
- For mid-size employers (15 to 500 employees worldwide **or** over \$2 million of annual gross revenue in Tukwila), the minimum wage will increase to \$18.29 per hour on January 1, 2024. On July 1, 2024, the rate will increase again to \$19.29 per hour.

Key Takeaways for Employers

- Employers that are located in either SeaTac, Seattle, or Tukwila should note that they are required to pay a **higher** minimum wage rate according to the city's local rules.
- For any employer with exempt employees, employers must pay those employees at least \$1,302.40 per week or \$67,724.80 annually.

Commentary:

The article covers the rise in minimum wage in the State of Washington starting on January 1, 2024, as required by the “Washington State Department of Labor and Industries”. It suggests the use of a **government intervention** for modifications in minimum wages for certain communities in Washington, including “SeaTac, Seattle, and Tukwila”. A minimum wage is a statutory pay floor that has to be followed by firms and that cannot be undercut.

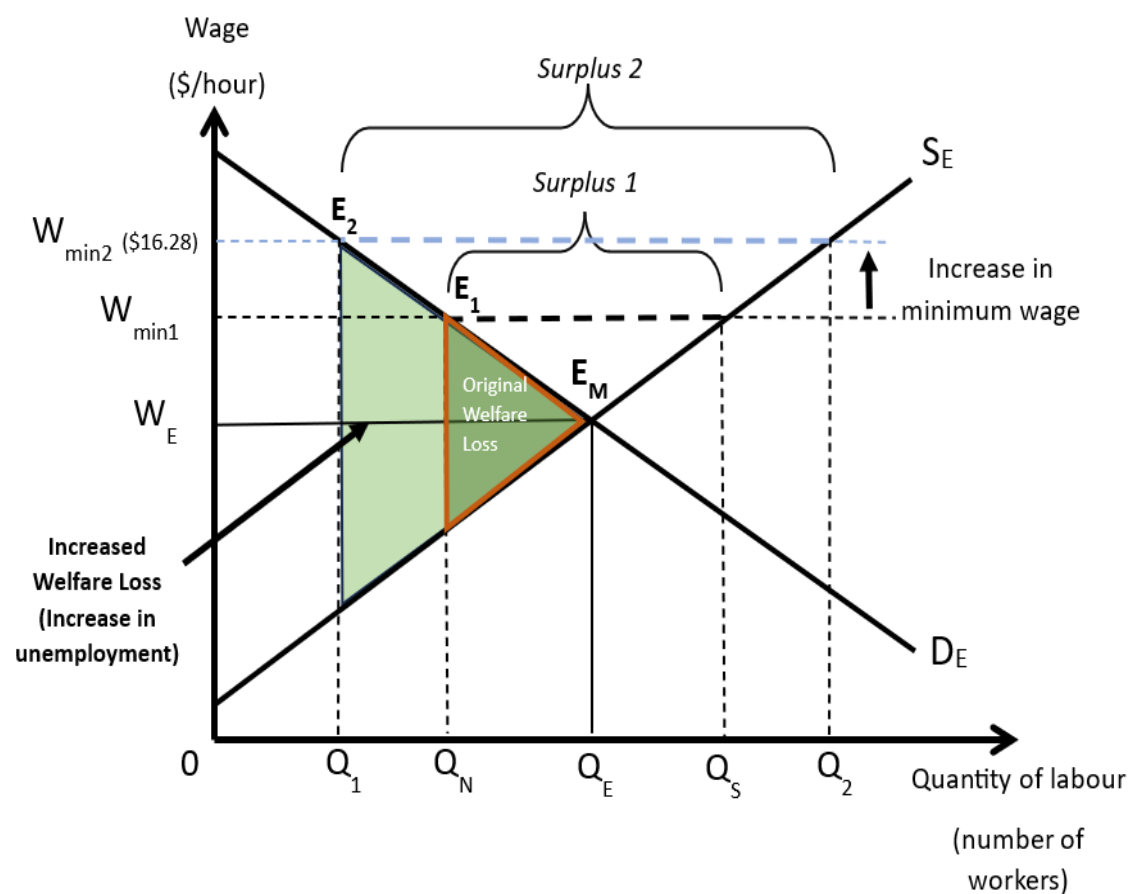


Diagram 1: Increase in minimum wage on Washington labour market

Initially, there was a minimum wage in Washington W_{min1} , at equilibrium E_1 (Q_N , W_{min1}) however the government decided to **intervene** and “increase it to \$16.28”. This increased the price floor to W_{min2} at E_2 . This increased the welfare loss too, as indicated by the shaded region in Diagram 1. There might also be further increase in unemployment in

Washington since firms try to cut costs and lay-off labour due to labour prices upsurge. This can also be considered to be beneficial for the firms, since they strive to become more efficient as they have less labour available to them.

The government further increased the already existing minimum wage to \$16.28/hour. This **intervention** causes a rise of the price floor for the labour market, increasing resource misallocation. This discrepancy between the labour demanded and supplied increases the labour surplus (unemployment) to the difference between Q_1 and Q_2 instead of that between Q_N and Q_S . This creates new welfare loss in labour market as indicated by shaded region. The **intervention** tries to guarantee that workers are paid a salary adequate to cover their necessities and ensure a respectable living standard. Nevertheless, it may result in outcomes like lay-offs, or automation as firms adapt to increasing labour expenses.

The **intervention** may increase efficiency of workers due to higher incentive and higher pay ($W_{\min 2}$) for the same work. The producers may be worse off as the new wage increases their cost of factors of production, decreasing their abnormal profit. However, in the long term these costs may be offset due to higher wage incentive to workers resulting in higher productivity and more output. This price floor may disadvantage customers since an increase in cost of production may result in a rise in pricing for the goods and services such as Rideshare transport, hospitality and IT as mentioned in the article.

Notably, to tackle income disparity between different firms and also different jobs, a differentiation between “small, mid-size and large employers” has been made. This **intervention** demonstrates a commitment to enhancing pay norms and also tackling income disparity in Washington. In the short run, this has its own difficulties for firms, especially small enterprises, that may find it challenging to accommodate increased labour expenses.

Employers might react by decreasing recruiting, lowering employee hours, or transferring the added expenses to customers by raising pricing. The varying wage rates in places such as “SeaTac, Seattle, and Tukwila” may result in differences in labour markets and prompt workers to move in search of better-paying jobs.

This **intervention** may also attract workers, especially 'Rideshare drivers' from states to with lower wages to Seattle, leading to overpopulation and higher competition, leading to lower standard of living. This alongside remuneration could motivate workers to become more employable by upskilling thus, producing a positive externality to society in the long run. The minimum wage increase is crucial for workers susceptible to exploitation. Less than 3% of full-time employees earn the federal minimum wage. Hence, this **intervention** won't impact workers earning above the minimum wage (the remaining 97%) and thus have minimal adverse effect on overall unemployment. Yet, this policy may harm the people it aims to protect: low-skilled, inexperienced workers who are most vulnerable to lay-offs. Firms may resort to automation, leading to unemployment. Automated machines offer longer run hours, require less maintenance, and have no human resource-related issues. Due to these advantages, the relatively elastic demand for labour may decrease as labour can be substituted by machines.

Alternatives of this **intervention** involve lowering tax for those below a set income, bonuses, paid holidays, efficiency wages, health insurance, and skill-improvement workshops. The government can provide welfare schemes such as MGNREGA in India, where unemployed workers are provided with wages, although it creates an opportunity cost to the government. These alternatives will reduce the welfare loss caused by labour surplus and benefit all workers, irrespective of wage, and might enhance efficiency, and contribute to fostering the economic conditions of Washington for long-term economic well-being.

The rise in minimum wage in Washington, from \$16.28/ hour, is a compromise between **government intervention** to enhance workers' well-being and the economic challenges encountered by businesses and counterintuitive impacts on low-skilled workers. Comprehensive knowledge of labour supply and demand, together with the impact of minimum wage regulations, is essential for policymakers to properly manage the intricacies of the labour market.

Section of the syllabus to which this article relates	Macroeconomics
Commentary number	2
Title of article	Turkey's inflation climbs to 68.5% despite continued rate hikes
Source of the article – Website name	CNBC
Source of the article – Full URL	https://www.cnbcm.com/2024/04/03/turkeys-inflation-climbs-to-68point5percent-despite-continued-rate-hikes-.html
The date the article was published	3 April 2024
The date the article was accessed	31 July 2024
The date the commentary was written	31 July 2024
Word count	795
Key concept	Change

Article:

Turkey's annual inflation rose to 68.5% for the month of March, an increase on February's 67.1% inflation read, according to the [Turkish Statistical Institute's report released Wednesday](#).

The monthly rise in consumer prices came out at 3.16%, led by education, communication, and hotels, restaurants and cafes, which saw month-on-month rises of 13%, 5.6%, and 3.9%, respectively.

On an annual basis, education again saw the highest cost inflation at 104% year on year, followed by hotels, restaurants and cafes at 95% and health at 80%.

Turkey has launched a concerted effort to tackle soaring inflation with interest rate hikes, most recently raising the country's key rate from 45% to [50% in late March](#).

Much of the inflation in recent months stems from a significant [increase to the minimum wage](#) that Turkey's government mandated for 2024. The minimum wage for the year rose to 17,002 Turkish lira (around \$530) per month in January, a 100% hike from the same period a year prior.

Economists expect further rate increases from the central bank will be necessary.

While the March inflation count represents "the smallest monthly increase in three months and suggests that the impact of the large minimum wage hike in January may now have largely passed, it is still far from consistent with the single-digit inflation that policymakers are trying to achieve," Nicholas Farr, an emerging Europe economist at London-based Capital Economics, wrote in an analyst note Wednesday.

“The latest inflation figures do little to change our view that **further monetary tightening lies in store and that a more concerted effort to tighten fiscal policy will be needed too**,” he said.

Turkey’s central bank implemented **eight consecutive interest rate hikes** from June 2023 to January 2024, **totaling a cumulative 3,650 basis points**. It paused in February, suggesting the tightening cycle was over, before raising rates again in March, citing “deterioration in the inflation outlook” and saying that “tight monetary stance will be maintained until a significant and sustained decline in the underlying trend of monthly inflation is observed.”

Analysts note that with [Turkey’s local elections](#), which took place on March 31, out of the way, pushing ahead with tighter monetary policy will likely be easier. The vote for municipal leaders across the country, which took place Sunday, saw [Turkey’s opposition party deal a historic blow](#) to Turkish President Recep Tayyip Erdogan’s ruling AK Party, winning the country’s five largest cities and several rural areas as well.

Economic pain and steep living cost increases for ordinary Turks over the last several years played a major role in the results, political observers said.

Exercising tight control over the central bank, Erdogan for the last few years refused to raise rates, calling them “the mother of all evil” and insisting, against economic orthodoxy, that lowering rates was the way to cool inflation. This was despite **declining foreign currency reserves and a rapidly weakening [Turkish lira](#)**, which has lost some 82% of its value against the dollar in the last five years.

Only after appointing a new finance and central bank team in May 2023 did the central bank stage a turnaround in policy, suggesting **greater independence at the bank from the**

executive branch of Turkey's government. But the political loss for Erdogan's party in the March local elections could make his future moves more unpredictable, some analysts say.

“The outcome of the vote fuels political uncertainty and raises doubts about whether President Recep Erdogan will stick to unpopular orthodox policies,” Bartosz Sawicki, a market analyst at fintech firm Conotoxia, wrote in a note. But, he added, “With no elections until 2028, another overhaul leading to the return of extra-loose monetary policy seems unlikely.”

Commentary:

The article provides an overview of the **change** in Turkey's inflation rates, its causes and solutions. Rates have risen to “68.5% for the month of March, an increase on February's 67.1%” as stated by the “Turkish Statistical Institute”. Inflation represents a general increase in the price level of goods and services in an economy over a period of time. It suggests monetary tightening by Turkish central bank to combat rising inflation. Monetary policy is the macroeconomic policy set by the central bank involving **changes** in money supply and interest rates to influence aggregate demand.

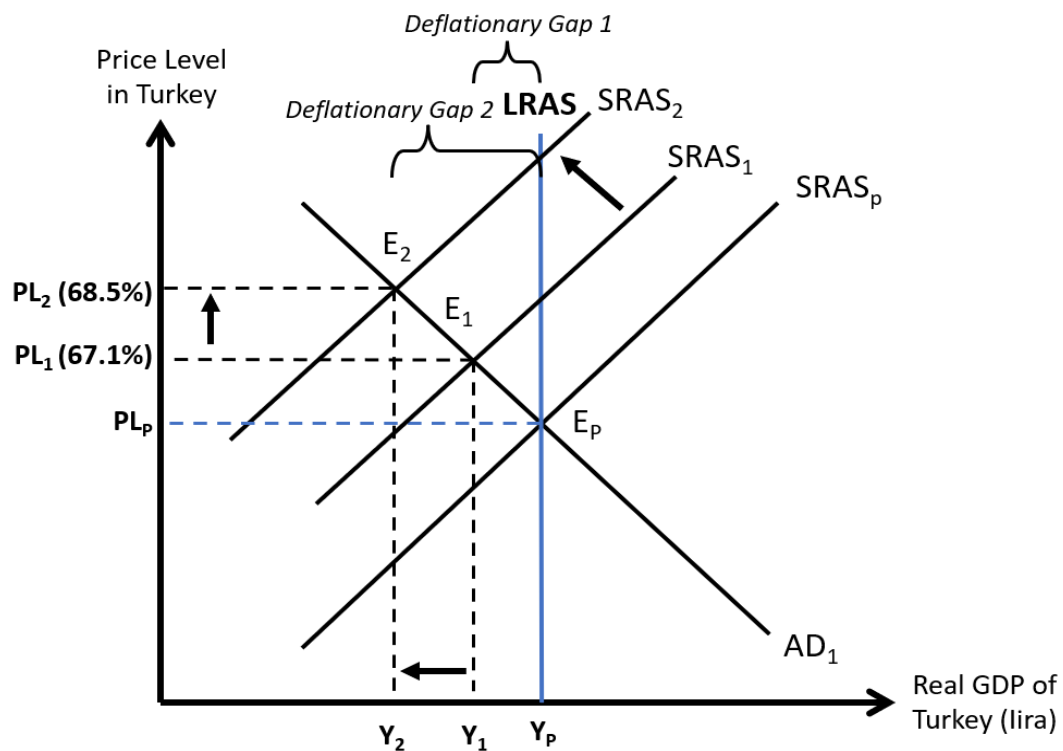


Diagram 1: Effect of minimum wage increase on Turkey's economy

The '100% minimum wage hike' is highlighted as key inflation driver. This **change** led to higher production costs to businesses, thus decreasing aggregate supply. Businesses passed these costs to consumers, inflating tertiary sectors like “education, communication and hotels, cafes and restaurants” with a “3.6% monthly rise in consumer prices”. The wage hike

led to a wage-price spiral, which occurs when rising wages increase production costs, leading to higher prices. As prices rise, workers demand more pay, fuelling further inflation. In Turkey, this can worsen inflation by boosting both costs and demand, further increasing inflation, as seen in Diagram 1 by shift from $SRAS_1$ to $SRAS_2$ and an increase in price level from PL_1 (67.1%) to PL_2 (68.5%) inflation. This also increased deflationary gap from 1 to gap 2, alongside decreased output, Y_1 to Y_2 . Structural unemployment may have increased in Turkey, as inflation and unemployment are inversely related, and **change** in labour market reforms may cause firms to lay-off labour to maintain profitability. Elements of demand-pull inflation are also present. Increased wages can boost consumer spending, contributing to rightward AD shift, further inflating prices. However, the overarching narrative in Turkey's economy is that inflation is primarily cost-driven.

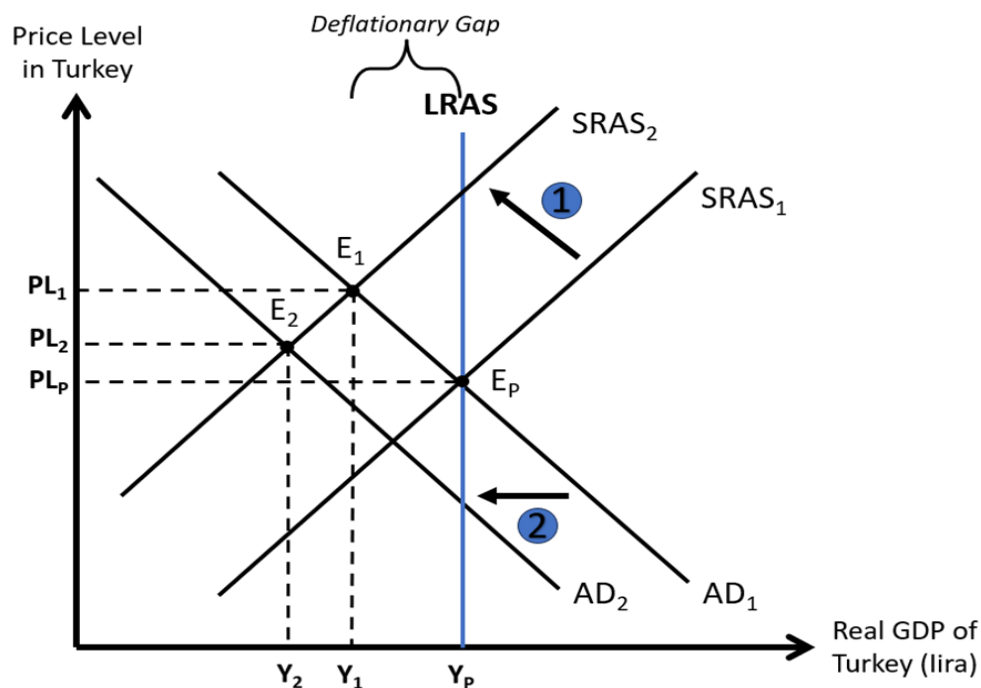


Diagram 2: Effect of tight monetary policy on Turkey's economy

However, to control this spiral, Turkey's central bank adopted monetary tightening, by raising interest rates from "45% to 50% in March 2024". Initially, a "tight control over the

central bank” by government hindered rate hikes, but political changes led to “eight consecutive interest rate hikes, totaling a cumulative 3,650 basis points”. The aim of **change** in interest rates is to reduce aggregate demand to combat high inflation. Higher interest rates make borrowing more expensive, which is expected to decrease consumer and business spending and investment, shifting AD leftwards from AD_1 to AD_2 in Diagram 2, easing inflation. This will **change** price level from PL_1 to PL_2 , which might be closer to target “single-digit inflation rate” in Turkey. Uncertainty in employment may deter people from consuming, increasing their propensity to save, decreasing consumption and aiding leftward AD shift.

This **change** in interest rates may offer several advantages. It can primarily reduce short term inflationary pressures. The monetary tightening and interest rate hikes suggest an attempt to counteract any potential demand-pull inflation by reducing available credit and cooling spending. However, improved export competitiveness, and thus increased net exports causing AD to shift rightward, paired with “a rapidly weakening Turkish lira,” could lead to higher import costs for firms, shifting SRAS further leftwards, altogether negating effectiveness of the policy. This may be true as evidently seen because “living cost increases”. “Declining foreign currency reserves” also meant that this monetary policy is not sustainable in long run. Nonetheless, this policy **change** can also strengthen the Turkish lira, which “lost 82% of its value against the dollar”, by attracting foreign investment seeking higher returns on Turkish assets, thereby increasing net exports and shifting AD rightwards, creating an environment suitable for sustainable economic growth.

Although, in Turkey, effectiveness of this policy could be hampered by political uncertainty and potential resistance from the government. President Erdogan's historical reluctance towards high-interest rates, viewing them as “mother of all evil”, poses a challenge

to central bank's independence and credibility, undermining public confidence in monetary policy effectiveness.

This policy **change** also risks pushing the Turkish economy into deeper recession, as indicated by real output decrease from Y_1 to Y_2 in Diagram 2, and stunting economic growth and increasing unemployment even further. Additionally, sustained high interest rates could lead to brain drain, with skilled professionals seeking more stable conditions abroad, shifting SRAS and AD leftward as labour shortages reduce productivity, and also decrease consumption by said labour. Over time, expensive borrowing could limit investment, reducing productivity, innovation and ultimately long-term growth. These effects could further weaken the “rapidly weakening lira”, fuel inflation, and undermine essential services and infrastructure development, posing risks to Turkey's long-term economic stability.

In conclusion, Turkey's interest rate hikes and minimum wage **change** aims to stabilize inflation and strengthen the lira in the short run. However, it risks increasing unemployment, reducing business investment, and potentially triggering a brain drain, weakening long-term productivity. A balanced approach, integrating fiscal reforms and labour market adjustments could yield more sustainable economic growth while minimizing negative impacts.

Section of the syllabus to which this article relates	Global Economy
Commentary number	3
Title of article	Kazakhstan: Wheat exports experience a big dip. Kazakh farmers being undercut by Russia.
Source of the article – Website name	Eurasianet
Source of the article – Full URL	https://eurasianet.org/kazakhstan-wheat-exports-experience-a-big-dip
The date the article was published	29 October 2024
The date the article was accessed	25 November 2024
The date the commentary was written	25 November 2024
Word count	797
Key concept	Interdependence

Article:

Kazakhstan: Wheat exports experience a big dip

Kazakh farmers being undercut by Russia.

Almaz Kumenov Oct 29, 2024

Exports of Kazakhstan's key agricultural product – wheat – have plunged by almost 40 percent during the first eight months of 2024 over the previous year's total for the same period. The price of Kazakh wheat is being undercut by Russia.

Kazakh farmers exported just over 3 million tons of wheat during the January-August timeframe, Vice Minister of Trade and Integration Kairat Torebayev [announced](#) at a government meeting. The lower export volume is due in part to a comparatively modest harvest. But Torebayev added that traditional buyers, including neighboring Central Asian states, Afghanistan, and Italy, have reduced their consumption of Kazakh wheat due to price dumping by Russia.

According to the first deputy chairman of the Auyl agrarian party, Toleutai Rakhimbekov, Kazakh grain cannot compete with Russian grain, which is 1.5 times cheaper. "The quality of Russian grain is much higher, because Russian farmers use fertilizers, pesticides, update seeds and equipment more than ours," the agricultural news site APK

Novosti [quoted](#) Rakhimbekov as saying.

Rakhimbekov said an increase in government subsidies would be needed to enable Kazakh farmers to regain wheat markets. Russia has added to the challenges by [imposing a ban on imports of wheat and other products from Kazakhstan](#) as of October 17, citing "phytosanitary safety." Russian regulators did not specify how long the ban would remain in place.

Kazakh MPs say the ban is unjustified and are [pressing](#) the government to take up the matter with Russian authorities.

Carving out new markets is proving challenging for Kazakhstan. **Farmers had pinned their hopes on China,** as wheat exports grew more than five-fold in 2023 over the previous year's total, reaching about 1.5 million tons. But in August, **Beijing unilaterally imposed a [sharp increase](#) in duties on Kazakh wheat,** effectively **slowing exports to a trickle.** The Kazakh government is working to troubleshoot the tariff issue.

Kazakhstan currently **has plans to resume grain supplies to Iran** and **explore exports to Pakistan, Indonesia, Brazil and Malaysia.**

Commentary:

Interdependence is the growing mutual reliance amongst economic agents, driven by the need for interaction and globalisation. A key example is mentioned in this article, which examines Kazakhstan's **dependence** on key trade partners for wheat export, and impact of Russian price dumping and Chinese import duties, and 'modest harvest'. This caused a '40% reduction in exports', to 'just over 3 million tons of wheat' this year, to address which Kazakhstan is considering using export subsidies, which is per unit subsidy on exported wheat.

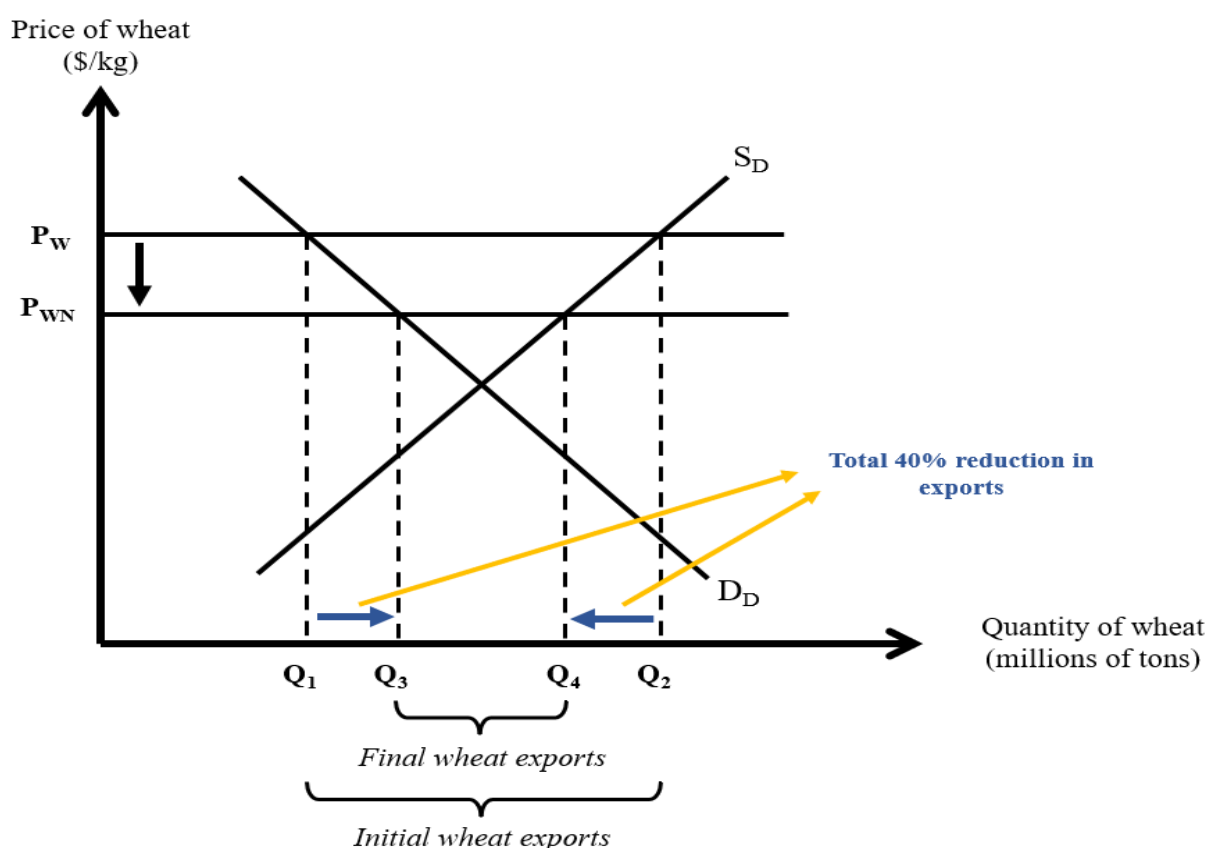


Figure 1: Impact of price dumping by Russia on Kazakhstan

Initially, Kazakhstan was **dependent** on traditional buyers like 'Central Asia, Afghanistan, and Italy' to sustain its wheat exports. Since wheat is a commodity, its demand and supply should be relatively inelastic, but in international market, its supply is considered to be infinite. This, and due to a combination of 'price dumping' by Russia with wheat '1.5

times cheaper' than Kazakhstan, 'higher quality seed', and use of 'fertilizers, pesticides, updated seeds and equipment', thus giving Russian wheat comparative advantage over Kazakhstan, causing world price of wheat on average to decrease, as seen in Fig.1 from P_W to P_{WN} . Thus, Kazakh wheat exports decreased as seen by the contraction of exported quantity from Q_2-Q_1 to Q_4-Q_3 , leading to a loss of revenue for Kazakh producers. This may be viewed as advantageous for domestic market as domestic demand increases due to lower local prices. However, this may increase cheaper wheat imported from Russia, causing **over-dependence** on imported wheat. Nonetheless, it would likely be insufficient against Russia's cost and quality advantages.

To address this, Kazakhstan suggests 'an increase in government subsidies.'

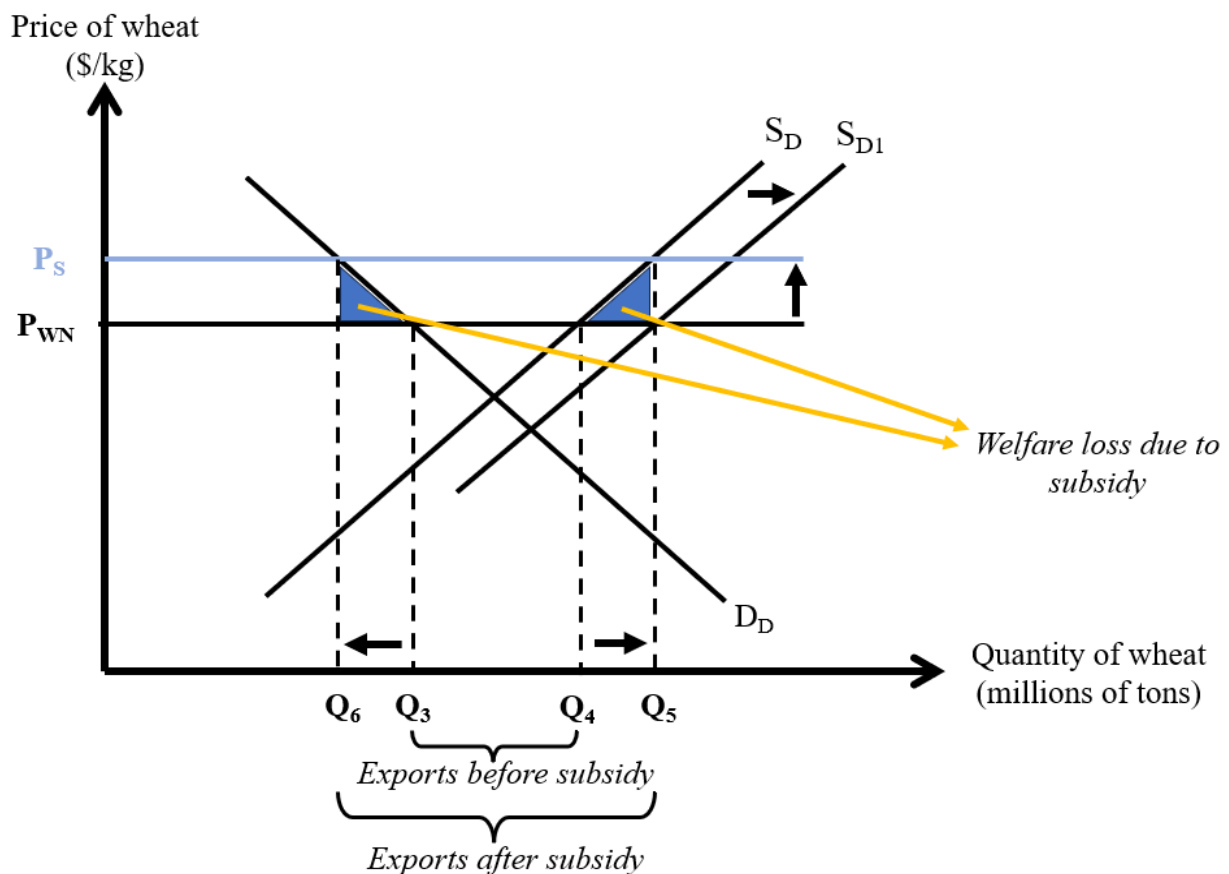


Figure 2: Effect of export subsidy on Kazakhstan

The subsidy will incentivize wheat producers to export more as it reduces cost of production, thus shifting supply curve to the right, as in Fig.2 from S_D to S_{D1} . This enables Kazakh wheat farmers to sell wheat at competitive prices in international markets while still earning higher revenue due to the per unit subsidy. The exported quantity will increase from Q_4 - Q_3 to Q_5 - Q_6 . Though not enough to completely regain all lost export, it may be sufficient to sustain profitability and maintain exports in short-run. Nonetheless, the subsidy may have a welfare loss, as shown by blue triangles in Fig.2, due to revenue being directed away from Kazakh local markets and misallocation of resources.

Decline in export revenue due to **dependence** on Russian wheat could bring about structural reforms, encouraging investment in higher-value crops or processed agricultural products, thus encouraging diversification. However, this requires significant financial resources and time, which may be constrained by the immediate revenue losses, delaying intended benefits. The export subsidy is a pressure on fiscal budget and is not sustainable in the long run, however it can stabilize the short-term shock to exports. The subsidy would disproportionately benefit large-scale exporting producers more than small-scale local ones, risking greater inequality. Broader policies like supporting diverse crops or investing in farming infrastructure could reduce this disparity.

Artificially boosting supply could counter China's increased import duties, however, it could be viewed as unfair in the global market, sparking retaliatory trade protections. Moreover, Russia's complete ban on Kazakh wheat provides no scope for the price of wheat to change anything. It may help create jobs locally, but might also lead to higher prices for domestic consumers, reducing food security in Kazakhstan. Increased production may lead to overuse of natural resources, causing environmental degradation. However, it may help to improve relations with Russia as now producers have more income to address the 'phytosanitary concerns'. Although, the subsidy may also cause **over-dependence** and protect

inefficient producers, deterring investment to improve the quality of wheat and reach the standards of Russian wheat. The phytosanitary concerns may also be hidden administrative barriers to reduce **interdependence**.

Since drop in exports was caused by a ‘modest harvest’, maybe next year the weather in Kazakhstan itself yields higher quality harvest, rendering the subsidy useless. However, thus subsidies could boost business confidence and attract foreign investment, and since the economy is **dependent** on wheat exports, will lead to economic growth. Nevertheless, the subsidy has opportunity costs. A better use could be providing better resources to producers to surpass Russian wheat, or ‘to explore exports to Pakistan, Indonesia, Brazil and Malaysia’. This may help them diversify, increasing **interdependence** and reducing exposure to volatile prices, benefiting them in long run. However, entering new markets is risky and capital-heavy, and Kazakhstan still faces the danger of the cheaper Russian wheat reaching these markets too.

In conclusion, Kazakhstan's **interdependence** on key trade partners for wheat exports exposes vulnerabilities, especially with Russian price dumping and Chinese import duties. While export subsidies provide short-term relief, they may lead to fiscal strain and inefficiencies. To foster more resilient interdependence, Kazakhstan should diversify its markets, invest in agricultural innovation, and pursue structural reforms to reduce **dependence** on a few external partners for long-term stability.